occurs whenever national policymakers attempt to convince their foreign peers to adopt a particular view on a contested international financial issue, such as capital controls or trade in financial services. Of course, developing countries often have perceived (sometimes correctly) the policy advice offered by the multilateral financial institutions as constituting coercive economic statecraft engineered by the system's financial hegemon, which would like to lock in the advantages provided by a particular regulatory framework favorable to itself.[5] In an expanded conceptualization, financial statecraft may be employed not only for offense; it also may be used for defense. For example, the agent-state (or a group of states) may alter its domestic actions or regulatory profile in order to protect itself from an actual or perceived threat from abroad, as by introducing capital controls. As with other forms of statecraft, the "security dilemma" may apply: when status quo states take defensive moves to protect themselves but this behavior cannot be distinguished from offensive actions, the result may be an inadvertent escalation spiral and less security instead of more.[6]

The fourth row of Table 3.1 notes that the traditional conception of financial statecraft assumes that the agent-state is seeking influence. However, this book's more inclusive definition of financial statecraft can accommodate other conceptualizations of state power as discussed in Chapter 2, including power as a defensive search for *autonomy* or *structural power* in international institutions or market systems. The fifth row returns to the identity of the agent-state. Once one allows for collective or defensive actions or for financial statecraft carried out through attempts to induce or persuade, it is clear that rising and middle powers, as well as major powers, will be able to engage in this type of foreign policy activity.

This book examines the collective financial statecraft of a group of rising powers, and includes four types of cases, which vary along two analytical dimensions, yielding four basic categories of collective financial statecraft employed by the BRICS vis-à-vis the incumbent powers. The first dimension of collective financial statecraft, represented horizontally in the table, distinguishes between two *types of action*. The insurgent or rising states may engage in "inside reforms," or instances of joint pressure aimed at altering existing structures and systems dominated by the status quo powers by working within established confines. Alternatively, dissatisfied states may instead use collective financial statecraft to exercise their "outside options" by constructing new and competing structures and systems, with *de facto* or *de jure* rules and procedures more attuned to the rising powers' preferences.